13. Income Taxes

Income tax expense (benefit) includes current state income taxes of approximately $35,000, $30,000 and $25,000 for 2003, 2004, and 2005, respectively. In 2003, the Company increased the valuation allowance for the deferred tax assets by $373,000, resulting in additional income tax expense.

Significant components of the Company's deferred tax assets and liabilities are as follows:

	Year ended June 30	
	2004	2005
Deferred tax assets:		
Net operating loss carryforward	$ 3,178,143	$ 2,353,410
AMT credit carryforward	—	50,000
Allowance for doubtful accounts	40,000	59,700
Book over tax depreciation	54,856	55,730
Total deferred tax assets	3,272,999	2,518,840
Valuation allowance for deferred tax assets	(3,272,999)	(2,518,840)
Net deferred tax assets	$ —	$ —

The Company has recorded a valuation allowance for its deferred tax assets due to the inability to conclude that it is more likely than not that these assets will be realized from future taxable income.

The Company's provision for income taxes resulted in effective tax rates attributable to loss from continuing operations before cumulative effect of change in accounting principal that varied from the statutory federal income tax rate of 34%, as summarized in the table below.

	Year ended June 30		
	2003	2004	2005
Expected federal income tax expense (benefit) from continuing operations at 34%	$(361,657)	$(222,083)	$ 685,391
Expenses not deductible for income tax purposes	14,074	78,936	51,061
State income taxes, net of federal benefit	23,100	(27,563)	99,487
Change in valuation allowance for deferred tax assets	732,555	200,608	(754,159)
Income tax expense (benefit)	$ 408,072	$ 29,898	$ 81,780

At June 30, 2005, the Company has net operating loss carryforwards totaling approximately $5.9 million, which will begin to expire in 2012. Certain net operating loss carryforwards at June 30, 2005 are limited on their use under Internal Revenue Code Section 382.